MAHDI EBSIM

https://sites.google.com/view/mahdiebsim/
ame384@nyu.edu

NEW YORK UNIVERSITY

Address	19 West Fourth St., 6th Floor New York, NY 10012-1119
Phone	+1 (617) 953-3890

Placement Director: Jaroslav Borovička	jaroslav.borovicka@nyu.edu	347-899-6273
Graduate Administrator: Ian Johnson	ian.johnson@nyu.edu	212 998-8901

Education

PhD in Economics, New York University, 2021–2027 (expected)
Thesis Title: *Three Essays on Macroeconomics and Firm Dynamics*
BA in Economics and Mathematics, New York University, 2018

References

Professor Virgiliu Midrigan (chair)
19 West Fourth St., 6th Floor
New York, NY 10012-1119
(212) 992-8081 (office)
virgiliu.midrigan@nyu.edu

Professor Corina Boar
19 West Fourth St., 6th Floor
New York, NY 10012-1119
(212) 998-8898 (office)
corina.boar@nyu.edu

Professor Mark Gertler
19 West Fourth St., 6th Floor
New York, NY 10012-1119
(212) 998-8931 (office)
mark.gertler@nyu.edu

Professor Diego Perez
19 West Fourth St., 6th Floor
New York, NY 10012-1119
(650) 766-5042
diego.perez@nyu.edu

Teaching and Research Fields

Primary fields:	Macroeconomics
Secondary fields:	Finance, Monetary Economics

Teaching Experience

Spring 2026	Introduction to Macroeconomics (undergraduate), New York University, Teaching Assistant for Professor Gerald McIntyre

Research Experience and Other Employment

2023–2024	Research Assistant for Professor Mark Gertler, New York University
2023–2024	Research Assistant for Professor Diego Perez, New York University
2018–2021	Research Associate, Federal Reserve Bank of St. Louis

Honors, Scholarships, and Fellowships

2026–2027	Dissertation Fellowship, New York University
Summer 2026	Dissertation Fellowship, Federal Reserve Bank of St. Louis
2024	Third Year Paper Prize, Department of Economics, New York University
2021–2027	Henry M. MacCracken Fellowship, New York University

Research Papers

Scope Economies and Allocative Efficiency (Job Market Paper)

Size-dependent distortions misallocate resources, yet in standard models they account for only a small share of cross-country income gaps. These models abstract from scope economies. Using product-level data, I show that revenue per product rises with the number of products in the US but not in India, consistent with scope economies operating only in the US. I rationalize this pattern in a model where firms adopt costly non-rival management shared across products. Adoption generates cost savings that act as productivity gains and increase with firm size. Hence, large firms adopt, and the right tail of the firm-size distribution thickens. I introduce distortions to match the Indian firm-size distribution and show that they deter adoption, rationalizing the absence of scope economies in India. As large firms forgo adoption, the tail thins. Eliminating distortions in the model calibrated to India increases aggregate productivity by 102%, compared with 25% without scope economies.

Sophisticated Borrowing Constraints and Macroeconomic Dynamics (with Chen Lian, Yueran Ma, Pablo Ottonello, and Diego Perez)
Revise and Resubmit, *American Economic Review*

In traditional macro-finance models, firms' debt contracts impose hard borrowing constraints, which require indiscriminate reductions of borrowing and investment when adverse shocks tighten these limits, giving rise to financial acceleration. We study the macroeconomic implications of "sophisticated borrowing constraints" akin to financial covenants among large U.S. nonfinancial firms, commonly specified based on firms' debt relative to operating earnings. We model these constraints as debt thresholds that trigger a transfer of control rights to creditors when they are violated, in which case creditors influence firms' decisions to maximize their value instead of cutting credit unconditionally to adhere to fixed ratios. At the micro level, our model is quantitatively consistent with empirical patterns of investment and earnings around covenant violations. At the macro level, sophisticated borrowing constraints do not generate financial acceleration, because constraint tightening and violations do not induce creditors to downscale firms indiscriminately.

When Liquidity Matters: Firm Balance Sheets during Large Crises (with Miguel Faria-e-Castro and Julian Kozlowski)
Conditionally accepted, *Journal of Political Economy: Macroeconomics*

We study how aggregate shocks shape the joint dynamics of credit spreads, debt, and liquid asset holdings for nonfinancial firms, focusing on the Great Financial Crisis (GFC) and COVID-19. Both episodes saw sharp credit spread increases and investment declines, but debt and liquidity fell during the GFC and rose during COVID-19. Cross-sectionally, leverage drove spreads and investment in the GFC, while liquidity dominated during COVID-19. We build a macro-finance model of firm capital structure with a liquidity motive for working capital. Calibrated to data, it attributes the GFC to real and financial shocks, while liquidity shocks also play a role during COVID-19.

An Odd Approximation of Inflation for State-dependent Pricing Models (with Luca Gagliardone, Mark Gertler, Simone Lenzu, and Joris Tielens)

We derive an aggregate state-space representation of state-dependent pricing models with random menu costs and strategic complementarities. The representation, derived from first principles, replaces the cross-sectional distribution of price gaps with a finite set of its moments (the first three), while preserving the key economic forces of state-dependent pricing–movements in the frequency of price adjustment and selection. Along the impulse response, inflation is an odd (cubic) polynomial in the average price gap. Embedded in a general equilibrium setting, the model can be solved by perturbation, filtered, and estimated with standard DSGE tools, and it matches well the global solution across shock sizes. Applied to the 2021–22 inflation surge in the United States and the euro area, it shows that much of the variation that linear models would attribute to cost-push shocks is in fact endogenous amplification through the frequency of price changes and selection.

Implications of Market Power for Financial Frictions

Should policies eliminating markups account for financial frictions? I study this in a macro-finance model with variable markups and earnings-based borrowing constraints. The two distortions interact: eliminating markups depresses profits, tightens borrowing constraints, and increases capital misallocation. This interaction accounts for 25 percent of total misallocation, a loss of 2.1 percent in aggregate productivity, despite financial frictions being modest in isolation. A planner constrained by financial frictions optimally allows markup dispersion, trading greater markup dispersion for reduced dispersion in the marginal product of capital. Each firm's socially optimal markup approaches the competitive equilibrium level as its cost of financing increases.

Precautionary Pricing

Firms set prices and production quantities before demand is realized, exposing them to the risk of excess inventories or stock-outs. I develop a model in which risk-averse firms choose prices and inventories under idiosyncratic demand uncertainty. Precautionary behavior generates dispersion in prices and markups even with constant demand elasticity, as firms trade off insuring against surpluses versus rationing. Quantitatively, the model replicates observed relationships between volatility, inventory investment, and markup dispersion in U.S. data. During supply-chain disruptions, heightened stock-out risk raises aggregate markups and delays recovery, revealing how firm-level risk aversion amplifies aggregate fluctuations.

Publications

The Local-Spillover Decomposition of an Aggregate Causal Effect (with Timothy G. Conley, Bill Dupor, Jingchao Li, and Peter B. McCrory)
Federal Reserve Bank of St. Louis Review, Second Quarter 2026, 108(6), 1–12

Professional Activities

Conference/seminar presentations

2026	Federal Reserve Bank of St. Louis
2025	Federal Reserve Bank of St. Louis; NBER Financial Market Frictions and Systemic Risk; Midwest Macro Meetings

Other Information

Citizenship	Canada, Libya